Lloyds Steels Industries Ltd

Now listed as Lloyds Engineering Works Ltd. Concall Tracker: judging the earning trigger and management consistency

Report date: 6 Nov 2026 | Quarter: Q1 FY27 (Apr-Jun 2026) | Screener: LLOYDSENGG | BSE 539992 | Builds on the Q4-2026 report

1. Snapshot

What it does: a heavy-engineering and project company. It designs, fabricates and installs big industrial equipment (pressure vessels, heat exchangers, steel-plant machinery, marine loading arms, ship parts) for oil and gas, steel, power, ports and the navy. Through buyouts it has added electric motors, defence products and full plant-building (EPC) work, and it's merging group company LICL (a large construction contractor) into itself.

Number	Value	Plain read
Market value	₹12,879 cr	What the stock market values the company at today, about the same as at our last report.
Standalone sales, Q1 FY27	₹356 cr	The parent company's sales for Apr-Jun 2026, about double (+105%) the same quarter last year.
Consolidated sales, Q1 FY27	₹527 cr	Sales including subsidiaries (Techno, Metalfab), up 143%. Metalfab is the big jump.
Standalone net profit, Q1	₹43 cr	Up about 147% on last year's ₹18 cr.
Core operating margin	~13%	On Screener's measure (excluding other income), down from 15-17% a year or two ago. Bigger, lower-margin execution work is diluting it. Including ₹14 cr of other income, the company's own figure is about 17%.
Order book (1 Jul 2026)	₹2,817 cr consolidated	Confirmed work still to deliver, up 81% on a year ago. Merging partner LICL holds another ₹4,830 cr.
P/E	83.2	The share price is about 83 times a year's profit, down from ~104 because profit jumped. Still very expensive.
ROE	10.6%	Only about ₹11 of profit a year on every ₹100 of shareholders' money. Modest for a stock priced this richly.

2. Coverage

No concall transcripts were available on Screener, so this report is based on a global web deep-dive. The company presents results with an investor deck, but no Q1 FY27 earnings-call transcript was published. Our Q4-2026 report was also built from the company's quarterly decks plus Screener data.

Period	Source	How it was read
Q4 FY23 to Q4 FY26 (13 decks)	Investor decks, BSE filings	Carried forward from the Q4-2026 report
Q1 FY27 (results 6 Aug 2026)	**Results filing and board outcome, deck summaries, merger filings, news**	**Newly read ★**

Sources used: the Q1 FY27 results and board outcome filed with BSE (as reported by InvestyWise, 6 Aug 2026), a summary of the Q1 FY27 investor presentation (Arthneeti, updated 25 Sep 2026), merger approval filings (CCI May 2026, exchange no-objections

May 2026, NCLT Mumbai order of 19 Aug 2026), and Screener.in financials. Nothing published after 30 Sep 2026 was used. Some secondary sources disagree on figures, so we used the BSE-filing numbers where they conflict.

★ Latest update highlights: Q1 FY27 (results 6 Aug 2026)

- **Sales doubled.** Standalone ₹356 cr (+105%), consolidated ₹527 cr (+143%). The big Q4 execution jump we saw last time carried into Q1, so it wasn't a one-quarter spike.
- **Profit grew, margin slipped.** Standalone profit ₹43 cr (+147%), but core margin is now ~13%, down from 15-17%. Other income (₹14 cr) is doing more of the lifting.
- **Order book up 81%** to ₹2,817 cr consolidated (₹2,432 cr standalone). LICL's own book is ₹4,830 cr, lower than the ₹5,692 cr shown in May as it executes.
- **Merger moving.** The NCLT (company-law tribunal) ordered shareholder meetings on 19 Aug 2026 after competition and exchange approvals in May. The merger adds roughly a quarter more shares.
- **Board items to note:** a ₹130 cr corporate guarantee for LICL (the group company being merged in), and a proposal to grow the employee stock-option pool from 4.4 crore to 7.35 crore options, which is more dilution if used.

Business mix & capacity

India vs exports: not broken out. The customer list is overwhelmingly Indian (oil companies, steel makers, the navy, shipyards), so almost all sales are domestic.

Capacity: no utilisation figure disclosed. Capacity is still being added: a new high-tension motor line at Techno's Vatva site went live this year, alongside the Bhilai and Metalfab expansions from earlier.

Since our last report (builds on the Q4-2026 report, May 2026 deck)

Prior verdicts: earning trigger **YES**, management consistent **MAYBE**.

Prior read	What we said then	What the new quarter shows	Movement
Trigger: YES	Big order book converting into sales	Sales doubled again; order book +81%	**Confirmed**
Consistency: MAYBE	Delivers on execution, but heavy reliance on group deals, dilution and flattering "proforma" framing	Execution strong again; group guarantee and bigger option pool add to the same concerns	**Unchanged**
Margins ~16-17%	Dipped to ~15% in Q4	Core margin ~13% in Q1	**Slipping**
LICL merger (~26% dilution)	Announced	NCLT route under way; shareholder vote pending as of 30 Sep	**On-track**
Q4 jump a one-off?	Lumpy quarter	Q1 sales close to Q4's level, double a year ago	**Improving**

Verdict change: both unchanged. Execution got stronger, governance questions didn't go away.

3. Earning Trigger thesis ★

The engine is simple: India is building steel plants, refineries, defence kit and infrastructure, and Lloyds keeps winning the equipment and project orders. The order book grew again and is turning into sales at a faster clip than ever, so the growth is backed by signed work. What's changing is the quality of that growth. More of it is lower-margin execution and group-company work, and the share count keeps rising.

Trigger	What management said	Evidence so far	Horizon	Strength	Change since last report
Order book from India's capex cycle	Order book gives strong visibility	₹2,817 cr, +81%; sales doubled	Now to 2-3 yrs	**Strong**	↑ book and execution both up
Group consolidation (LICL, Metalfab, Techno)	One "total infrastructure" group	Metalfab sales up ~5x; NCLT process under way	FY27-28	**Moderate**	On track, dilution coming
Margins at 15-18%	Steady margins	Core ~13%	Ongoing	**Weak**	↓ slipping
Defence and niche tech	Torpedoes, drones, special motors	R&D being spent; no big defence revenue reported	2-4 yrs	**Unproven**	Unchanged

4. Management Consistency scorecard

Period	What was promised	What actually happened	Verdict
FY23-FY26 (prior report)	Grow the order book and sales	Sales 3.4x in three years, book up every year	**Delivered**
Jul 2025	FY26 revenue 4x FY25	Only on a proforma basis; reported ~1.7x	**Partly**
FY26	Margins 15-18%	~13% core in Q1 FY27	**Missed lately**
May 2026	Complete LICL merger	Approvals in; NCLT ordered meetings 19 Aug 2026	**Too early**
Ongoing	Debt-free balance sheet	Still near-zero debt, but now guaranteeing ₹130 cr for LICL	**Partly**

Narrative drift: no new story this quarter. It's still the "five-engine infrastructure group" pitch. The worry is the same as last time and a bit sharper: margins are thinning as it grows, the parent is backing a group company's borrowing before the merger closes, and a bigger stock-option pool sits on top of the merger dilution. With no Q1 transcript, we couldn't hear management explain any of this in their own words.

5. Bottom line: two verdicts

Durable earning trigger? → YES (vs last quarter: unchanged)

The order book grew 81% and sales doubled for a second straight quarter, so the engine is clearly running. The caveats: margins are slipping, a lot of the growth rides on group entities, and the stock still trades at over 80 times profit.

Management consistent? → MAYBE (vs last quarter: unchanged)

Execution keeps delivering, which pulls toward a Yes. But the margin promise is slipping, the group guarantee and larger option pool add to the related-party and dilution concerns we flagged in May, and the company still doesn't publish call transcripts we can check promises against.

Sources: Lloyds Engineering Works Q1 FY27 results and board outcome (BSE filing via InvestyWise, 6 Aug 2026); Q1 FY27 investor presentation summary (Arthneeti); merger approval coverage (Angel One, FilingReader); prior Q4-2026 concall-tracker report; Screener.in financials. Nothing after 30 Sep 2026 used. Not investment advice.